Note 12 - Income Taxes:

The federal and state and foreign income tax provision is summarized as follows:

Year Ended December 31,	2010	2009	2008
Current			
Federal	**$116,388**	$16,012	$104,984
State	**8,698**	664	9,023
Foreign	**3,365**	5,412	6,440
	128,451	22,088	120,447
Deferred, including current deferred			
Federal	**6,085**	61,443	(37,180)
State	**1,509**	5,822	2,453
	7,594	67,265	(34,727)
Income taxes attributable to the Noncontrolling interest (1)	**416**	533	983
Total income taxes	**$136,461**	$89,886	$ 86,703

(1) There is no income tax provision for LSV due to its partnership structure.

Annual tax provisions include amounts considered sufficient to pay assessments that may result from examination of prior year tax returns; however, the amount ultimately paid upon resolution of issues raised may differ materially from the amount accrued. The examination and the resolution process may last longer than one year.

The components of Net income before income taxes are summarized as follows:

Year Ended December 31,	2010	2009	2008
Domestic	**$360,937**	$255,390	$340,991
Foreign	**6,795**	8,300	13,241
	$367,732	$263,690	$354,232

The effective income tax rate differs from the federal income tax statutory rate due to the following:

Year Ended December 31,	2010	2009	2008
Statutory rate	**35.0%**	35.0%	35.0%
State taxes, net of Federal tax benefit	**2.0**	1.5	3.3
Foreign tax expense and tax rate differential	**0.4**	1.1	0.7
Research and development tax credit	**(0.5)**	(0.8)	(1.3)
Valuation allowance on capital losses, PA loss carryforwards and other, net	**0**	0	(0.2)
Net reduction of uncertain tax positions(2)	**0.2**	(2.7)	0
Other, net	**(0.1)**	(0.2)	0.6
	37.0%	33.9%	38.1%

(2) For 2010, 0.14 percent relates to federal issues and the remaining balance 0.06 percent relates to state tax issues. For 2009, 2.0 percent relates to research and development tax

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credit settled with the Internal Revenue Service (IRS), 0.5 percent relates to federal issues settled with the IRS and the remaining 0.2 percent relates to state tax issues.

Undistributed earnings of the Company’s foreign subsidiaries amounted to approximately $58,178 at December 31, 2010. Those earnings are considered to be indefinitely reinvested and, accordingly, no U.S. federal and state income taxes have been provided thereon. Upon distribution of those earnings, in the form of dividends or otherwise, the Company would be subject to both U.S.

income taxes, subject to an adjustment for foreign tax credits, and withholding taxes payable to the various foreign countries. Determination of the amount of unrecognized deferred U.S. income tax liability is not practicable because of the complexities associated with its hypothetical calculation, including the availability, or lack thereof, of foreign tax credits to reduce a portion of the U.S. liability.

Deferred income taxes for 2010, 2009, and 2008 reflect the impact of temporary differences between the amount of assets and liabilities for financial reporting purposes and such amounts as measured by tax laws and regulations. Principal items comprising the deferred income tax provision are:

Year Ended December 31,	2010	2009	2008
Difference in financial reporting and income tax depreciation methods	**$ 1,381**	$ (86)	$ 2,792
Reserves not currently deductible	**774**	394	2,800
Reserves for Capital Support Agreements and basis difference in SIV securities	**4,822**	60,491	(49,792)
Capitalized software currently deductible for tax purposes, net of amortization	**5,734**	2,876	12,220
State deferred income taxes	**1,519**	2,394	1,595
Revenue and expense recognized in different periods for financial reporting and income tax purposes	**(562)**	(122)	1,599
Stock-based compensation expense	**(7,457)**	(4,386)	(4,567)
Uncertain tax positions	**(106)**	2,861	(297)
Other, net	**1,489**	2,843	(1,077)
	$ 7,594	$67,265	$(34,727)

The net deferred income tax liability is comprised of:

Year Ended December 31,	2010	2009
Current deferred income taxes:		
Gross assets	**$ 1,388**	$ 2,333
Gross liabilities	**(1)**	(50)
	1,387	2,283
Valuation allowance	**0**	0
	1,387	2,283
Long-term deferred income taxes:		
Gross assets	**59,892**	50,810
Gross liabilities	**(143,137)**	(130,850)
	(83,245)	(80,040)
Valuation allowance	**(9,008)**	(6,217)
	(92,253)	(86,257)
Net deferred income tax liability	**$ (90,866)**	$ (83,974)

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The valuation allowances against deferred tax assets at December 31, 2010 and 2009 are related to state net operating losses from certain domestic subsidiaries. Certain state tax statutes significantly limit the utilization of net operating losses for domestic subsidiaries. Furthermore, these net operating losses cannot be used to offset the net income of other subsidiaries. As of December 31, 2010, the Company fully utilized its capital loss carryforward in the amount of $4,256.

The tax effect of significant temporary differences representing deferred tax liabilities is:

Year Ended December 31,	2010	2009
Difference in financial reporting and income tax depreciation methods	**$ (11,402)**	$ (10,879)
Reserves not currently deductible	**472**	905
Capitalized software currently deductible for tax purposes, net of amortization	**(132,030)**	(123,693)
State deferred income taxes	**5,337**	4,565
Revenue and expense recognized in different periods for financial reporting and income tax purposes	**3,015**	2,300
Unrealized holding loss (gain) on investments	**(5,292)**	(338)
Stock-based compensation expense	**40,096**	31,052
State net operating loss carryforward	**16,634**	15,518
Valuation allowance on deferred tax assets	**(9,008)**	(6,217)
Federal benefit of state tax deduction for uncertain tax positions	**1,542**	1,518
Capital loss, net of valuation allowance	**0**	1,527
Other, net	**(230)**	(232)
Net deferred income tax liability	**$ (90,866)**	$ (83,974)

The Company recognizes tax liabilities in accordance with the applicable accounting guidance and adjusts these liabilities when management's judgment changes as a result of the evaluation of new information not previously available. Due to the complexity of some of these uncertainties, the ultimate resolution may result in a payment that is materially different than from our current estimate of the tax liabilities. The Company's total unrecognized tax benefit, not including interest and penalties, as of December 31, 2010 was $5,723, of which $4,870 would affect the effective tax rate if the Company were to recognize the tax benefit. The gross amount of uncertain tax liability of $767 which is expected to be paid within one year is included in Current liabilities while the remaining amount of $5,645 is included in Other long-term liabilities on the accompanying Consolidated Balance Sheets. During the year ended December 31, 2010, the Company recognized $432 of previously unrecognized tax benefits relating to the lapse of the statute of limitation for certain state filings.

The Company files a consolidated federal income tax return and separate income tax returns with various states. Certain subsidiaries of the Company file tax returns in foreign jurisdictions. The Company is no longer subject to U.S. federal income tax examination for years before 2008 and is no longer subject to state, local or foreign income tax examinations by authorities for years before 2001.

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A reconciliation of the beginning and ending amount of unrecognized tax benefit is as follows:

	2010	2009	2008
Balance as of January 1	**$4,989**	$13,453	$13,329
Tax positions related to current year:			
Gross additions	**1,372**	1,905	1,288
Gross reductions	**0**	0	0
	1,372	1,905	1,288
Tax positions related to prior years:			
Gross additions	**0**	0	468
Gross reductions	**(104)**	0	(273)
	(104)	0	195
Settlements	**(102)**	(9,888)	0
Lapses on statute of limitations	**(432)**	(481)	(1,359)
Balance as of December 31	**$5,723**	$ 4,989	$13,453

The above reconciliation of the gross unrecognized tax benefit will differ from the amount which would affect the effective tax rate because of the recognition of the federal and state tax benefits.

The Company classifies all interest and penalties as income tax expense. The Company has recorded $690, $864 and $2,337 in liabilities for tax related interest and penalties in 2010, 2009, and 2008, respectively.

The Company estimates it will recognize $499 of unrecognized tax benefits within the next twelve months due to lapses on the statute of limitation.

The Company includes its direct and indirect subsidiaries in its U.S. consolidated federal income tax return. The Company's tax sharing allocation agreement provides that any subsidiary having taxable income will pay a tax liability equivalent to what that subsidiary would have paid if it filed a separate income tax return. If the separately calculated federal income tax provision for any subsidiary results in a tax loss, the current benefit resulting from such loss, to the extent utilizable on a separate return basis, is accrued and paid to that subsidiary.